

5

Remaining Life (Net Block / Depreciation)

As seen,

The Remaining life of Assets = Net Block/Total Depreciation for the year.

Gross Block = Total value invested

Net Block = The value as on date after depreciation



A Rs. 100 Cr asset after 5 years may have depreciated to Rs. 45 Cr in value. So, Rs. 100 Cr is the Gross Block and Rs. 45 Cr in the net block.

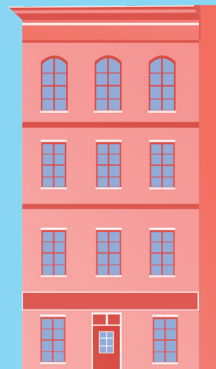
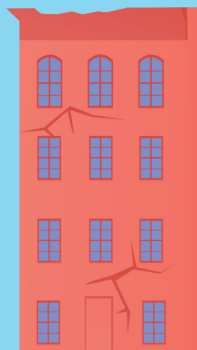
As seen, roughly 6-7 years is the average remaining life of majority fixed assets of this company.

Used Life = Total Life of Asset - Remaining Life of Asset

Total life (Gross Block/Depreciation)	14.97	14.03	14.29	14.27	13.15	12.35
Remaining Life (Net Block/ Depreciation)	7.56	6.86	6.68	6.87	6.72	6.39
Used Life	7.41	7.17	7.61	7.40	6.44	5.96

We can see that assets as a whole are about 7 years old and have another 6 years in them. Majority assets are not very new. This is important as, in many companies, there are really old assets that are being used. In such a case, the company will need to do a major CAPEX or an investment round to replace the old depreciated assets with new efficient ones.

The above life of assets helps analyze the assets' health, which in this company's case is majorly plants and machinery. In cases where life of assets is nearing end, one must expect large CAPEX sooner or later.



Old Plant and machinery to be replaced by new one.